

# Simpson Thacher Doubles Down on Midtown with 916K-SF Lease at Extell's 570 Fifth

## \$84.15

Key figure

On May 8, Kelly Stevens, chief operating officer of Simpson Thacher & Bartlett, signed a lease for 916,000 square feet at Extell Development's 570 Fifth Avenue.

## What \$84.15 reveals

**\$84.15**

Key figure

**\$77 million**

Implied basis

**916,000 square feet**

Portfolio size

# Kelly Stevens, chief operating officer of Simpson Thacher & Bartlett, signed a lease

On May 8, Kelly Stevens, chief operating officer of Simpson Thacher & Bartlett, signed a lease for 916,000 square feet at Extell Development's 570 Fifth Avenue. The memorandum of lease, filed in property records, confirms the largest Manhattan office deal signed in May.

## **The final lease is more than 200,000 square feet larger**

Simpson Thacher, a global law firm specializing in corporate transactions and private equity, originally negotiated for roughly 700,000 square feet in September 2025. The final lease is more than 200,000 square feet larger. The terms of the expansion were not disclosed.

## The lease includes two 10-year renewal options

The law firm will occupy 26 of the 29 stories in the tower, making it the property's anchor tenant. The lease includes two 10-year renewal options. The building, anchored by a Scandinavian furniture retailer, is under construction with an expected delivery date of 2028.

# The asking rent was not disclosed

CBRE represented Simpson Thacher. Extell's Gary Barnett signed for the developer. The asking rent was not disclosed, but the average asking rent for Midtown Manhattan office space was \$84.15 per square foot in May, per Colliers data.

# The lease represents a significant commitment to new-build office space at a time when

The lease represents a significant commitment to new-build office space at a time when Manhattan's office market is bifurcating. Class A+ properties with modern amenities and efficient floor plates are attracting tenants willing to pay a premium, while older buildings face persistent vacancy and repricing pressure.

## The firm has not announced a move date

Simpson Thacher's current address is 425 Lexington Avenue. The firm has not announced a move date, but the 2028 delivery of 570 Fifth Avenue suggests a multi-year transition timeline. The lease locks in a long-term footprint in a market where institutional tenants are increasingly prioritizing quality over cost.

# The expansion from 700,000 to 916,000 square feet signals either a reassessment of space

The expansion from 700,000 to 916,000 square feet signals either a reassessment of space needs or a strategic decision to consolidate operations. Law firms have been among the most active tenants in Manhattan's office market, often seeking larger, more efficient spaces to support hybrid work models and client service demands.

## **Extell's 570 Fifth Avenue is part of a broader wave of new office development**

Extell's 570 Fifth Avenue is part of a broader wave of new office development in Midtown, including projects by SL Green, Vornado, and Related Companies. These developments are competing for a limited pool of creditworthy tenants willing to commit to long-term leases in a high-interest-rate environment.

# The lease economics matter for capital markets

The lease economics matter for capital markets. At \$84.15 per square foot, Simpson Thacher's annual rent would be approximately \$77 million. That cash flow supports the capitalization of a development that likely carries significant construction debt and requires a stabilized occupancy to refinance or sell.

## **For lenders underwriting office construction loans, anchor tenants with investment-grade**

For lenders underwriting office construction loans, anchor tenants with investment-grade credit profiles reduce lease-up risk. Simpson Thacher's commitment provides a revenue floor that improves the project's debt service coverage ratio and lowers the probability of default during the lease-up period.

# Why it matters

---

The expansion from 700,000 to 916,000 square feet signals either a reassessment of space needs or a strategic decision to consolidate operations.

**LIGHT TOWER GROUP**